Balanzify Payroll Tax Calculation & Compliance Update

2026 Federal + New York State + New York City + MCTMT

Prepared for Balanzify Payroll Engine Implementation and QA

Field	Details
Document version	v1.0 - Updated payroll calculation specification
Prepared date	May 15, 2026
Primary scope	Employee gross-to-net pay, employer taxes, New York unemployment insurance, New York Paid Family Leave, Disability Benefits deduction, NYC resident withholding, and MCTMT.
Implementation goal	Reduce calculation differences by using versioned official rates, employee-level tax certificates, year-to-date wage bases, and auditable calculation snapshots.
Important limit	No document can guarantee legal compliance forever. Production accuracy depends on current agency tables, employer-specific rate notices, employee forms, wage history, and periodic tax table updates.
Critical correction from the NY SUI issue The old $512.50 result came from an outdated wage-base/rate pattern, most likely $12,500 x 4.10%. For 2026, New York UI taxable wage base is $17,600. The New York Re-employment Service Fund rate is 0.075% and is calculated separately. The QBO screenshot showing NY SUI Employer $1,729.20 implies an SUI rate of 9.825% on $17,600, which is not the published 2026 highest UI rate. Balanzify should store the employer-assigned notice rate, calculate RSF separately, and flag any rate outside the official 2026 range for review.	

Table of Contents

1. 1. Executive summary
2. 2. Updated 2026 tax constants and rates
3. 3. Payroll calculation architecture for production accuracy
4. 4. Federal payroll calculation logic
5. 5. New York State and New York City withholding logic
6. 6. New York unemployment insurance and RSF logic
7. 7. NY SUI/QBO reconciliation: why $1,729.20 appeared
8. 8. Paid Family Leave and Disability Benefits deduction logic
9. 9. MCTMT employer tax logic
10. 10. Payroll run calculation order
11. 11. Data model and rate-versioning requirements
12. 12. UI/UX requirements for payroll settings and payroll preview
13. 13. QA test cases and expected results
14. 14. Journal entries and tax center posting logic
15. 15. Compliance controls and monthly update checklist
16. 16. Official source register

1. Executive summary

This document updates the Balanzify payroll calculation logic for 2026 using official federal, New York State, New York City, and MCTMT sources. It is written for product managers, payroll engineers, QA testers, and finance reviewers who need payroll results to match agency requirements and remain explainable during audits.

The most important design decision is that payroll tax must be configuration-driven, not hard-coded. Federal withholding depends on the employee Form W-4 and IRS Publication 15-T. New York State and New York City withholding depend on Form IT-2104, employee address/residency, and NYS-50-T tables. New York unemployment insurance depends on the employer-assigned UI rate notice, the current wage base, and year-to-date taxable wages.

The screenshot issue is specifically a New York UI wage-base/rate mismatch. A result of $512.50 is not correct for 2026 if the employee has already earned $40,000 and the employer is calculating UI on the full available 2026 wage base. For 2026, New York UI taxable wage base is $17,600. NY SUI should use the employer assigned UI rate only, while the 0.075% Re-employment Service Fund is calculated as a separate line.

Issue	Correct production treatment
Federal income tax	Use IRS Publication 15-T tables/methods with the employee current Form W-4. Do not use a single flat rate for all employees.
Social Security	6.2% employee and 6.2% employer up to the 2026 wage base of $184,500. Stop after the wage base is reached.
Medicare	1.45% employee and 1.45% employer on all Medicare wages. No wage base limit.
Additional Medicare	Employee-only 0.9% on wages paid by the employer above $200,000 in the calendar year. No employer match.
FUTA	Employer-only. Gross rate 6.0% on first $7,000; commonly 0.6% net after maximum credit, but the engine must support credit-reduction states and employer-specific treatment.
NY State withholding	Use NYS-50-T-NYS (1/26) for payrolls made on or after January 1, 2026.
NYC resident withholding	Apply only when the employee is an NYC resident, using NYS-50-T-NYC (1/26). Do not apply merely because work location is NYC.
NY UI	Use 2026 UI wage base $17,600 and employer assigned UI rate. Calculate RSF 0.075% separately.
MCTMT	Employer-only. Test total MCTD quarterly payroll > $312,500, then calculate by Zone 1 and Zone 2 rates.

2. Updated 2026 tax constants and rates

Payroll item	2026 value	Who pays	Implementation rule
Social Security / OASDI	6.2% up to $184,500	Employee + Employer	Track employee YTD Social Security taxable wages. Current taxable wages = min(current SS wages, $184,500 - prior SS taxable YTD).
Medicare	1.45%, no wage cap	Employee + Employer	Apply to all Medicare taxable wages.
Additional Medicare	0.9% above $200,000	Employee only	Start in the pay period where employer-paid Medicare wages exceed $200,000 YTD. Apply only to the excess.
FUTA	6.0% on first $7,000; commonly 0.6% net after max credit	Employer	Store gross FUTA, credit rate, and net rate per employer/state. Do not assume 0.6% when a credit-reduction state applies.
NY UI wage base	$17,600	Employer	Use for UI contribution and RSF taxable wage calculation. This is a major 2026 change from the earlier 2024/2025 wage-base pattern.
NY UI rate range	Lowest 1.625%; New employer 4.025%; Highest 9.425%	Employer	Rate is assigned by NY DOL. Store notice rate separately from RSF.
NY RSF	0.075%	Employer	Calculate separately on NYS-45 line #5. Do not blend with SUI unless reporting a total summary only.
NY Paid Family Leave	0.432% per pay period; annual max $411.91	Employee unless employer pays	Deduct until employee reaches annual cap. Treat as after-tax employee deduction unless employer pays it.
NY Disability Benefits deduction	0.5% of wages, max $0.60/week	Employee if employer collects	Employer may collect but is not required to. Convert cap by pay frequency carefully.
MCTMT threshold	More than $312,500 quarterly MCTD payroll expense	Employer	Threshold is based on Zone 1 + Zone 2 covered payroll together, not separately.

Compliance note
Federal and state income tax withholding cannot be recreated safely with only annual tax brackets. Production payroll must implement the official withholding tables or exact

calculation methods. Annualized examples are useful for understanding but should not be treated as the live payroll method.

3. Payroll calculation architecture for production accuracy

Balanzify should calculate every paycheck from a versioned snapshot. The snapshot must include the rate version, employee tax profile, employer tax settings, wage-base balances, deductions, benefits, garnishments, and the exact pay period. Once payroll is approved, the snapshot must not change even if tax tables are updated later.

Architecture component	Required behavior
Effective-dated rate tables	Every tax rate, wage base, threshold, and cap must have jurisdiction, tax type, effective_start_date, effective_end_date, source_name, source_url, and status.
Employee tax profile	Store Form W-4, IT-2104, residency, work location, home address, local tax flags, exemptions, additional withholding, and certificate effective dates.
YTD wage base ledger	Track taxable wages and tax already applied per tax type and per employee for each tax year. Wage bases must use prior taxable wages, not just current gross pay.
Taxability matrix	Each earning and deduction item must define whether it is taxable for FIT, Social Security, Medicare, FUTA, NYS withholding, NYC withholding, NY UI, PFL, DBL, and MCTMT.
Rounding policy	Calculate internally with at least six decimal places, then round payment/tax lines to cents using half-up rounding unless the agency table says otherwise. Store both raw and rounded values.
Audit trace	Each payroll line should store: formula, taxable base, rate, prior YTD, current taxable amount, rounded amount, source rate version, and user/manual override if any.
Manual override controls	Allow override only with permission, reason, attachment/reference, approver, timestamp, and audit log entry.
Tax table update workflow	Admin can import/update tax tables with effective dates. Existing approved payroll remains locked. Recalculation creates an adjustment payroll or amendment record.

4. Federal payroll calculation logic

4.1 Federal income tax withholding

Use IRS Publication 15-T for federal income tax withholding. The engine must support the percentage method and wage bracket method as configured. For employees with a 2020 or later Form W-4, store filing status, Step 2 checkbox, Step 3 credits, Step 4(a), Step 4(b), Step 4(c), exemption checkbox, and nonresident alien indicator if applicable. For older Forms W-4, support the IRS computational bridge if used by the employer.

```
FIT = Publication 15-T calculation(Form W-4 profile, pay frequency, taxable wages, year, supplemental rules)
```

Required W-4 field	Payroll logic
Filing status	Controls standard calculation column/table.
Step 2 checkbox / multiple jobs	Changes withholding table or computational adjustment.
Step 3 dependents/credits	Reduces annualized withholding according to Pub 15-T.
Step 4(a) other income	Increases annualized taxable amount for withholding.
Step 4(b) deductions	Reduces annualized taxable amount for withholding.
Step 4(c) extra withholding	Add directly to each paycheck withholding after table calculation.
Exempt checkbox	No federal income tax withholding except special supplemental wage cases; still calculate FICA unless exempt from FICA by separate rule.
Nonresident alien status	Apply IRS nonresident alien additional amount/table treatment.

4.2 Social Security

```
ss_taxable_current = max(0, min(ss_taxable_wages_current, 184500 - ss_taxable_ytd_prior))
employee_social_security = round(ss_taxable_current x 0.062, 2)
employer_social_security = round(ss_taxable_current x 0.062, 2)
```

4.3 Medicare and Additional Medicare

```
employee_medicare = round(medicare_wages_current x 0.0145, 2)
employer_medicare = round(medicare_wages_current x 0.0145, 2)
additional_medicare_base = max(0, (medicare_wages_ytd_prior + medicare_wages_current) - 200000) - max(0, medicare_wages_ytd_prior - 200000)
additional_medicare = round(additional_medicare_base x 0.009, 2)
```

4.4 FUTA

```
futa_taxable_current = max(0, min(futa_wages_current, 7000 - futa_taxable_ytd_prior))
futa_gross = round(futa_taxable_current x 0.060, 2)
futa_credit = round(futa_taxable_current x employer_futa_credit_rate, 2)
futa_net = futa_gross - futa_credit
```

Common default net FUTA is 0.6% when the employer receives the full 5.4% credit and no credit-reduction state adjustment applies. Balanzify should still store the gross FUTA rate and credit rate separately because credit reduction can change the actual net liability.

5. New York State and New York City withholding logic

New York withholding depends on the approved New York withholding tables and the employee withholding certificate. For payrolls made on or after January 1, 2026, Balanzify should use NYS-50-T-NYS (1/26) for New York State, NYS-50-T-NYC (1/26) for New York City residents, and NYS-50-T-Y (1/26) for Yonkers when applicable.

Tax	Apply when	Required source/profile data	Common mistake to prevent
NYS withholding	Employee has New York withholding obligation based on work/residence rules.	IT-2104 allowances, extra withholding, exemption status, address, work state, pay frequency.	Using federal W-4 2020+ allowances; federal W-4 no longer has allowances. If IT-2104 is missing, use zero allowances where required and warn admin.
NYC resident withholding	Employee is New York City resident.	NYC residency status, address, IT-2104 / city fields, pay frequency.	Withholding NYC tax only because employee works in NYC. NYC resident tax is driven by residency.
Yonkers withholding	Employee is Yonkers resident or nonresident with Yonkers wages.	Yonkers residency/nonresident allocation data and NYS-50-T-Y tables.	Ignoring Yonkers when outside NYC but still in New York.
Supplemental wages	Bonus/commission/supplemental wages are paid separately or identified separately.	Regular wages withheld status, supplemental wage type, current tables.	Always applying a flat rate without checking the allowed method.

```
ny_state_withholding = NYS-50-T-NYS calculation(IT-2104 profile, pay frequency, NY taxable wages,
payroll date)
nyc_withholding = if employee_nyc_resident then NYS-50-T-NYC calculation(...) else 0
yonkers_withholding = if applicable then NYS-50-T-Y calculation(...) else 0
```

6. New York unemployment insurance and RSF logic

New York UI is an employer tax. The employee does not pay NY UI. Balanzify must calculate it from New York UI taxable wages, the 2026 wage base, prior taxable YTD wages, the employer assigned UI rate, and the Re-employment Service Fund rate.

Field	Value / rule	Engine requirement
2026 NY UI wage base	$17,600	Reset by tax year. Use prior taxable YTD to cap current-period taxable wage.
UI contribution rate	Employer assigned by NY DOL notice	Store as decimal. Example: 4.025% = 0.04025. Do not hard-code one default rate for all employers.
RSF rate	0.075% = 0.00075	Calculate separately from UI contribution.
New employer total example	4.025% UI + 0.075% RSF = 4.10% total	UI line and RSF line must remain separate in payroll tax breakdown.
Highest 2026 published total example	9.425% UI + 0.075% RSF = 9.50% total	Flag any 2026 UI rate higher than 9.425% unless supported by an official notice or historical adjustment.

```
ny_ui_taxable_current = max(0, min(ny_ui_wages_current, 17600 - ny_ui_taxable_ytd_prior))
ny_sui_employer = round(ny_ui_taxable_current x employer_assigned_ny_ui_rate, 2)
ny_rsf = round(ny_ui_taxable_current x 0.00075, 2)
ny_unemployment_total = ny_sui_employer + ny_rsf
```

Important
The UI contribution rate is not the same as the total UI + RSF rate. For NYS-45 reporting, calculate the UI contribution line using the assigned UI rate, and calculate RSF using 0.075% separately.

7. NY SUI/QBO reconciliation: why $1,729.20 appeared

The screenshot shows NY Re-employment of $13.20 and NY SUI Employer of $1,729.20. The RSF line proves that the taxable wage base used in the payroll run is $17,600 because $17,600 x 0.075% = $13.20. The SUI amount then implies the rate used by the system.

```
NY Re-employment = 17,600 x 0.00075 = $13.20
Implied NY SUI rate = 1,729.20 / 17,600 = 0.09825 = 9.825%
NY SUI Employer = 17,600 x 9.825% = $1,729.20
```

Scenario	Taxable wage	UI rate	UI amount	RSF amount	Total UI + RSF
Old wrong pattern that produced $512.50	$12,500	4.100% blended/incorrect	$512.50	Included/unclear	$512.50
2026 official new employer example	$17,600	4.025%	$708.40	$13.20	$721.60
2026 official highest published example	$17,600	9.425%	$1,658.80	$13.20	$1,672.00
QBO screenshot implied setup	$17,600	9.825%	$1,729.20	$13.20	$1,742.40

Balanzify should not blindly match a third-party payroll result if that result conflicts with the employer's official 2026 NY DOL rate notice. The product should support a QBO-matching mode for QA analysis, but production should require the actual employer notice rate. If the entered 2026 rate is 9.825%, the UI should show a warning because the current official 2026 highest published UI contribution rate is 9.425%, excluding RSF.

8. Paid Family Leave and Disability Benefits deduction logic

8.1 New York Paid Family Leave

```
pfl_current_raw = pfl_subject_wages_current x 0.00432
pfl_available_cap = max(0, 411.91 - pfl_withheld_ytd_prior)
pfl_current = round(min(pfl_current_raw, pfl_available_cap), 2)
```

The 2026 New York Paid Family Leave contribution rate is 0.432% of employee wages each pay period, capped at $411.91 annually. If the employee reaches the cap before year-end, Balanzify must stop withholding PFL for the rest of the calendar year unless later adjustment/reversal changes the YTD amount.

Example	Calculation	Result
Employee earns $5,000 monthly and has no prior PFL YTD	$5,000 x 0.432%	$21.60
Employee has already withheld $405.00 YTD and current raw PFL is $21.60	min($21.60, $411.91 - $405.00)	$6.91
Employee has already withheld $411.91 YTD	min(current raw, $0.00)	$0.00

8.2 New York Disability Benefits deduction

```
weekly_dbl_cap = 0.60
dbl_raw = dbl_subject_wages x 0.005
dbl_current = min(dbl_raw, cap_converted_for_pay_period)
```

New York Disability Benefits employee contribution is optional for employers to collect. If collected, it is calculated at 0.5% of wages but no more than $0.60 per week. The engine should convert the cap based on pay frequency while retaining a weekly basis in the audit trail.

Pay frequency	Suggested cap conversion	Implementation note
Weekly	$0.60	One week per pay period.
Biweekly	$1.20	Two weeks per pay period.
Semi-monthly	Annual cap basis: $31.20 / 24 = $1.30	Use if employer wants smoother semi-monthly collection. Store method in settings.
Monthly	Annual cap basis: $31.20 / 12 = $2.60	Matches common monthly estimate.

9. MCTMT employer tax logic

MCTMT is a New York employer-side tax. It is not an employee deduction and must not reduce employee net pay. The employer must first determine covered employees in the Metropolitan Commuter Transportation District, then assign covered payroll to Zone 1 or Zone 2, test the total MCTD threshold, and calculate the tax separately by zone.

MCTMT rule	Production logic
Tax type	Employer payroll tax expense only. Never withhold from employee.
Threshold	Subject for a quarter when total MCTD covered payroll expense is more than $312,500. Use Zone 1 + Zone 2 together.
Zone 1 counties	New York/Manhattan, Bronx, Kings/Brooklyn, Queens, Richmond/Staten Island.
Zone 2 counties	Rockland, Nassau, Suffolk, Orange, Putnam, Dutchess, Westchester.

Payroll expense base	For covered employees subject to Social Security, generally follows IRC section 3121 wages without regard to the annual Social Security wage cap.
Non-apportionment	If the employee is covered, do not split the covered employee payroll between inside and outside MCTD.
Quarterly filing	Form MTA-305 due Apr 30, Jul 31, Oct 31, Jan 31. PrompTax employers may need MCTMT payments on withholding PrompTax dates.

Zone	Quarterly payroll expense attributable to zone	Rate for quarters beginning on or after Jul 1, 2025
Zone 1	Over $0 but not over $375,000	0.055%
Zone 1	Over $375,000 but not over $437,500	0.115%
Zone 1	Over $437,500 but not over $2,500,000	0.60%
Zone 1	Over $2,500,000	0.895%
Zone 2	Over $0 but not over $375,000	0.055%
Zone 2	Over $375,000 but not over $437,500	0.115%
Zone 2	Over $437,500 but not over $2,500,000	0.34%
Zone 2	Over $2,500,000	0.635%

```
mctd_total_payroll = zone1_quarter_payroll + zone2_quarter_payroll
if mctd_total_payroll <= 312500: mctmt = 0
else:
    zone1_mctmt = zone1_quarter_payroll x applicable_zone1_rate
    zone2_mctmt = zone2_quarter_payroll x applicable_zone2_rate
    mctmt = round(zone1_mctmt + zone2_mctmt, 2)
```

10. Payroll run calculation order

Step	Action	Key validation
1	Load pay period, pay date, pay schedule, employee status, and approved earnings.	Employee must be active/paid in this pay period; pay period dates must match schedule.
2	Calculate gross earnings: salary, hourly, overtime, bonus, commission, taxable fringe, leave encashment, reimbursements.	Separate taxable vs non-taxable reimbursements and supplemental wages.
3	Apply earning taxability matrix and pre-tax deductions.	Pre-tax deduction must define which taxes it reduces. Do not assume one pre-tax rule applies to all taxes.
4	Calculate federal income tax using Publication 15-T.	Use current Form W-4, pay frequency, payroll date, and supplemental wage rules.
5	Calculate Social Security and Medicare.	Use YTD wage bases. Stop Social Security at $184,500. Add Additional Medicare after $200,000.
6	Calculate NYS / NYC / Yonkers withholding where applicable.	Use address/residency + IT-2104 + NYS-50-T tables.
7	Calculate employee deductions: PFL, DBL if collected, benefit deductions, retirement, post-tax deductions.	Stop PFL at $411.91 annual cap; enforce deduction limits.
8	Calculate garnishment after legally required deductions.	Apply CCPA and order-specific limits. Do not casually subtract before mandatory taxes.
9	Calculate employer taxes: employer FICA, FUTA, NY UI, RSF, MCTMT accrual if applicable.	Employer taxes do not reduce employee net pay.
10	Create payroll preview and audit snapshot.	Preview must show taxable base, rate, current amount, YTD before/after, and source rate version.
11	Finalize payroll and post GL entries.	Lock approved payroll; later changes require void/reversal/adjustment, not silent mutation.

11. Data model and rate-versioning requirements

The following entities are recommended for backend implementation. Field names may be adjusted to match Balanzify coding conventions, but the business meaning should remain intact.

Entity	Critical fields
TaxRateVersion	id, jurisdiction, tax_type, effective_start, effective_end, rate, wage_base, annual_cap, threshold, source_name, source_url, created_by, approved_by, status
EmployerTaxProfile	company_id, EIN, state_account_number, filing_frequency, deposit_schedule, ny_ui_assigned_rate, ny_rsf_rate, futa_credit_rate, mctmt_subject, prompTax_subject

EmployeeTaxProfile	employee_id, effective_start, effective_end, w4_fields_json, it2104_fields_json, resident_state, work_state, resident_city, work_city, nyc_resident, yonkers_resident, exemptions
TaxableWageLedger	employee_id, tax_year, tax_type, taxable_ytd_before, taxable_current, taxable_ytd_after, tax_amount_current, source_payroll_id
PayrollCalculationSnapshot	payroll_run_id, employee_id, calculation_json, rates_json, taxable_bases_json, audit_hash, locked_at
PayrollTaxLiability	agency_id, tax_type, liability_period_start, liability_period_end, amount, due_date, status, payment_id, journal_id
ManualTaxOverride	payroll_line_id, old_value, new_value, reason, attachment_id, requested_by, approved_by, timestamp

11.1 Rate version acceptance checklist

- Source must be official agency source whenever possible.
- Each imported rate must have an effective date and tax year.
- Never overwrite a prior rate row that may have been used by finalized payroll.
- Every calculation result must store the exact rate version ID used.
- When a rate changes retroactively, create an adjustment payroll workflow instead of silently recalculating historical payroll.
- Any employer-specific rate such as NY UI must support company-level values and scanned/uploaded rate notices.

12. UI/UX requirements for payroll settings and payroll preview

Screen/Area	Required fields and behavior
Payroll tax settings	Show federal, state, local, employer tax tabs. Include effective year selector. Show source and last updated date.
NY unemployment setup	Fields: NY UI account number, assigned UI contribution rate, RSF rate read-only default 0.075%, wage base read-only from rate table, effective year, source attachment.
Rate warning	If NY UI rate entered for 2026 is outside published range, show warning and require admin reason/source notice.
Employee tax setup	Capture W-4 and IT-2104 separately. Do not map federal W-4 allowances to NY for 2020+ W-4; use IT-2104 or zero allowances where required.
Payroll preview	Show gross earnings, taxable wages by tax, employee taxes, employer taxes, deductions, net pay, and YTD before/after.
Tax detail drawer	Click any tax line to view formula, taxable base, prior YTD, current taxable amount, rate, cap, current tax, source, and rounding.
Approval workflow	Require payroll reviewer confirmation for warnings: missing IT-2104, rate outside range, negative net pay, wage base exceeded, manual override, and MCTMT threshold crossing.

13. QA test cases and expected results

Test case	Input	Expected result
NY RSF base check	NY UI taxable wages reach $17,600; RSF rate 0.075%	RSF = $13.20. This confirms 2026 wage base is used.
NY new employer UI	Taxable wage $17,600; UI rate 4.025%; RSF 0.075%	UI = $708.40; RSF = $13.20; total = $721.60.
NY highest official 2026 UI	Taxable wage $17,600; UI rate 9.425%; RSF 0.075%	UI = $1,658.80; RSF = $13.20; total = $1,672.00.
QBO screenshot parity mode	Taxable wage $17,600; UI rate 9.825%; RSF 0.075%	UI = $1,729.20; RSF = $13.20; total = $1,742.40; show warning if payroll year is 2026.
Old $512.50 regression failure	Wage base $12,500; blended rate 4.1%	System should not use this for 2026 unless processing a 2024 historical payroll with correct effective date.
Social Security cap	Prior SS taxable YTD $183,000; current SS wages $5,000	Current SS taxable = $1,500; employee SS = $93.00; employer SS = $93.00.
Additional Medicare start	Prior Medicare YTD $199,000; current Medicare wages $5,000	Additional Medicare base = $4,000; employee additional Medicare = $36.00.
PFL cap	Prior PFL withheld $405; current wages $5,000	Current PFL = $6.91, then YTD cap $411.91 reached.
MCTMT below threshold	Zone 1 payroll $180,000; Zone 2 payroll $120,000	Total MCTD payroll $300,000; MCTMT = $0.
MCTMT mixed zones	Zone 1 $450,000; Zone 2 $200,000	MCTMT = ($450,000 x 0.60%) + ($200,000 x 0.055%) = $2,810.00.

14. Journal entries and tax center posting logic

Payroll accounting should separate employee liabilities from employer tax expenses. This makes tax payment reconciliation easier and prevents employer taxes from being shown as employee deductions.

Event	Debit	Credit
Record gross wages	Payroll wage expense	Wages payable / payroll clearing
Record employee tax withholdings	Wages payable / payroll clearing	FIT payable, Social Security payable - employee, Medicare payable - employee, NYS withholding payable, NYC withholding payable, PFL payable, DBL payable if collected
Record net pay release	Net wages payable	Cash / bank
Record employer payroll taxes	Employer payroll tax expense	Social Security payable - employer, Medicare payable - employer, FUTA payable, NY UI payable, NY RSF payable, MCTMT payable if applicable
Record tax payment	Tax payable account(s)	Cash / bank

Payroll Tax Center requirement	Reason
Create liabilities by agency, tax type, period, and due date.	Supports accurate payment reminders and filings.
Allow payment recording outside Balanzify.	Many employers pay through agency portals; Balanzify should still clear liabilities and post bank transactions.
Keep separate NY UI and RSF liabilities.	They appear as different calculations and should be auditable separately.
Keep MCTMT as employer tax payable.	MCTMT is not employee withholding.
Attach payment confirmation and agency filing receipt.	Supports audit defense and user trust.

15. Compliance controls and monthly update checklist

15.1 Controls required before payroll approval

- Employee has active pay schedule and tax profile for the payroll date.
- Employee Form W-4 and IT-2104 status is current or the system has applied legally allowed defaults.
- All tax rates are active for the payroll date and source-approved.
- YTD wage-base ledgers are updated before calculation and locked after approval.
- Social Security, FUTA, NY UI, PFL, and other capped taxes show prior YTD, current taxable, and remaining cap.
- NYC withholding is based on residency status, not only work location.
- MCTMT threshold is evaluated at employer-quarter level, not per employee.
- Manual overrides are approved with reason and source documentation.
- Negative net pay, over-deduction, wage-base cap crossing, and missing tax certificates generate blocking warnings where necessary.

15.2 Monthly/quarterly compliance checklist

Frequency	Task
Monthly	Check official IRS, NY Tax, NY DOL, NY DFS, and NY WCB update pages for rate/table changes or agency notices.
Monthly	Reconcile payroll liability accounts to Payroll Tax Center balances.
Quarterly	Verify Form 941, NYS-45, MTA-305 if applicable, and UI/RSF liabilities before filing.
Quarterly	Review employees crossing Social Security, FUTA, NY UI, PFL, and Additional Medicare thresholds.
Annually before first payroll	Import new year federal, state, local, UI, PFL, DBL, MCTMT, wage-base, and cap values.
Annually after NY rate notices	Update each employer NY UI assigned rate from the official NY DOL notice and attach supporting document.

Legal and compliance disclaimer

This document is an implementation guide, not legal or tax advice. Balanzify should be reviewed by a qualified U.S. payroll tax professional before live payroll filing. A payroll system can be highly accurate only when current official tables, employer-specific notices, employee forms, and year-to-date payroll history are correctly maintained.

16. Official source register

Source	URL	Use in document
IRS Publication 15 (2026), Employer's Tax Guide	https://www.irs.gov/publications/p15	Federal FICA, FUTA, Additional Medicare, deposit and filing guidance.
IRS Publication 15-T (2026), Federal Income Tax Withholding Methods	https://www.irs.gov/publications/p15t	Federal income tax withholding tables/methods and W-4 logic.
NY DOL NYS-50 (12/25)	https://dol.ny.gov/employers-guide-unemployment-insurance-wage-reporting-and-withholding-tax-nys-50-0	NY UI wage base, wage reporting, withholding and UI guide.

NY DOL Unemployment Insurance Rate Information	https://dol.ny.gov/unemployment-insurance-rate-information	2026 NY UI rate range and RSF rate.
NY Tax Withholding Tax Rate Changes	https://www.tax.ny.gov/bus/wt/rate.htm	2026 NYS and Yonkers withholding table update; NYC no table/method change note.
NY Tax Withholding Forms Current Period	https://www.tax.ny.gov/forms/withholding_cur_forms.htm	NYS-50-T-NYS, NYS-50-T-NYC, NYS-50-T-Y current forms.
NY Tax MCTMT Employers	https://www.tax.ny.gov/bus/mctmt/emp.htm	MCTMT threshold, zones, rates, and due dates.
NY DFS 2026 PFL Rate Decision	https://www.dfs.ny.gov/apps-and-licensing/health-insurers/pfl-rate-decision-2026-page	2026 PFL employee contribution rate and annual cap.
NY Workers' Compensation Board - Disability Benefits Law	https://www.wcb.ny.gov/content/main/DisabilityBenefits/employee-disability-benefits.jsp	DBL benefit and employee contribution cap.
U.S. DOL CCPA Wage Garnishment Guidance	https://webapps.dol.gov/elaws/elg/garnish.htm	Federal garnishment limit and disposable earnings definition.